DIAMOND TRUST BANK KENYA LIMITED 2016 ABRIDGED AUDITED GROUP AND BANK FINANCIAL STATEMENTS

Summary Statement of Financial Position

	Group		Bank	
	2016 Shs '000	2015 Shs '000	2016 Shs '000	2015 Shs '000
Assets				
Cash and balances with Central Banks	27,480,328	26,350,152	14,928,452	14,578,145
Government securities	92,677,832	46,939,146	74,513,801	34,310,709
Deposits and balances due from banking institutions	7,611,137	10,017,481	2,886,933	4,973,737
Loans and advances to customers	186,303,191	177,544,871	136,685,924	125,817,859
Corporate bond - at amortised cost	100,154	127,769	-	-
Amounts due from group companies	-	-	114,060	227,794
Other assets	2,887,984	2,475,859	2,155,595	1,834,113
Intangible assets - software costs	1,283,008	595,492	979,459	386,186
Property and equipment	6,738,194	5,618,767	5,072,986	3,996,431
Intangible assets - goodwill	173,372	173,372	-	-
Current income tax	121,468	6,206	-	-
Deferred income tax	2,639,217	1,735,405	2,242,582	1,430,461
Investments in subsidiaries and associates	28,616	24,077	4,544,026	3,392,468
Total Assets	**328,044,501**	**271,608,597**	**244,123,818**	**190,947,903**
Liabilities				
Customer deposits	238,103,640	194,051,857	169,599,903	126,228,706
Deposits and balances due to banking institutions	17,575,802	8,406,398	16,147,224	8,149,404
Other liabilities	3,730,847	4,411,306	2,438,833	3,257,684
Borrowings	22,062,229	26,141,690	18,824,605	23,076,632
Current income tax	695,434	291,958	681,444	239,276
Total liabilities	**282,167,952**	**233,303,209**	**207,692,009**	**160,951,702**
Shareholders' equity				
Share capital	1,065,284	968,440	1,065,284	968,440
Share premium	7,294,767	7,294,767	7,294,767	7,294,767
Retained earnings	30,682,722	25,293,925	25,993,139	20,760,865
Statutory loan loss reserve	860,779	-	-	-
Other reserves	433,325	(27,970)	1,386,184	366,854
Proposed dividend	692,435	605,275	692,435	605,275
Equity attributable to owners of the Bank	**41,029,312**	**34,134,437**	**36,431,809**	**29,996,201**
Non controlling interests	4,847,237	4,170,951	-	-
Total equity	45,876,549	38,305,388	36,431,809	29,996,201
Total liabilities and equity	**328,044,501**	**271,608,597**	**244,123,818**	**190,947,903**

Summary Statement of Comprehensive Income

	Group		Bank	
	2016 Shs '000	2015 Shs '000	2016 Shs '000	2015 Shs '000
Net interest income	19,385,277	15,190,207	13,795,013	10,657,192
Non-interest revenue	5,003,030	4,696,486	3,063,976	2,598,448
Total Income	**24,388,307**	**19,886,693**	**16,858,989**	**13,255,640**
Credit impairment charges	(4,197,342)	(2,150,278)	(2,807,354)	(1,535,711)
Income after impairment charges	**20,190,965**	**17,736,415**	**14,051,635**	**11,719,929**
Total operating expenses	(9,195,269)	(8,171,223)	(5,175,252)	(4,665,122)
Profit before taxation	**10,995,696**	**9,565,192**	**8,876,383**	**7,054,807**
Income tax expense	(3,267,556)	(2,965,386)	(2,724,478)	(2,261,956)
Profit for the year	**7,728,140**	**6,599,806**	**6,151,905**	**4,792,851**
Other comprehensive income/(loss) net of tax	423,328	(163,375)	1,022,019	-
Total comprehensive income	**8,151,468**	**6,436,431**	**7,173,924**	**4,792,851**
Total comprehensive income attributed to :				
Equity holders of the parent	7,759,933	5,876,793	7,173,924	4,792,851
Non-controlling interests	391,535	559,638	-	-
	8,151,468	**6,436,431**	**7,173,924**	**4,792,851**
Earnings per share - basic and diluted (in Shs):	26.94	22.20	23.10	18.00
Dividend per share (in Shs):	2.60	2.50	2.60	2.50

Summary Statement of Changes in Equity (Group)

	Share capital Sh '000	Share premium Sh '000	Retained earnings, statutory and other reserves Sh '000	Proposed dividends sh '000	Non-controling interests Sh '000	Total Sh '000
At 1 January 2016	**968,440**	**7,294,767**	**25,265,955**	**605,275**	**4,170,951**	**38,305,388**
Total comprehensive income	-	-	7,759,933	-	391,535	**8,151,468**
Bonus issue	96,844	-	(96,844)	-	-	-
Issue of additional shares to non controlling interests	-	-	-	-	505,584	**505,584**
Acquisition of interests from non controlling interests	-	-	(126,742)	-	(186,244)	**(312,986)**
Unclaimed dividends previously written back to reserves surrendered to the Unclaimed Financial Assets Authority	-	-	(133,041)	-	-	**(133,041)**
Dividend paid	-	-	-	(605,275)	(34,589)	**(639,864)**
Proposed dividend	-	-	(692,435)	692,435	-	-
At 31 December 2016	**1,065,284**	**7,294,767**	**31,976,826**	**692,435**	**4,847,237**	**45,876,549**

Summary Statement of Changes in Equity (Bank)

At 1 January 2016	**968,440**	**7,294,767**	**21,127,719**	**605,275**	**-**	**29,996,201**
Total comprehensive income	-	-	7,173,924	-	-	**7,173,924**
Bonus issue	96,844	-	(96,844)	-	-	-
Unclaimed dividends previously written back to reserves surrendered to the Unclaimed Financial Assets Authority	-	-	(133,041)	-	-	**(133,041)**
Dividend paid	-	-	-	(605,275)	-	**(605,275)**
Proposed dividend	-	-	(692,435)	692,435	-	-
At 31 December 2016	**1,065,284**	**7,294,767**	**27,379,323**	**692,435**	**-**	**36,431,809**

Summary Statement of Cash Flows

	Group		Bank	
	2016 Shs '000	2015 Shs '000	2016 Shs '000	2015 Shs '000
Cash flows used in operating activities	(3,447,810)	(11,742,850)	(3,577,753)	(12,395,270)
Cash flows used in investing activities	(1,837,770)	(1,428,803)	(2,404,184)	(1,831,862)
Cash flows (used in)/from financing activities	(5,561,411)	11,256,272	(5,869,466)	10,983,878
Net decrease in cash and cash equivalents	**(10,846,991)**	**(1,915,381)**	**(11,851,403)**	**(3,243,254)**
Cash and cash equivalents at start of year	15,269,755	17,777,150	4,753,747	7,997,001
Translation difference	(1,556,898)	(592,014)	-	-
Cash and cash equivalents at end of year	**2,865,866**	**15,269,755**	**(7,097,656)**	**4,753,747**

The above financial statements are extracts from the books of the institution as audited by PricewaterhouseCoopers and received an unqualified opinion. They were approved by the Board of Directors on 21 March 2017, and signed on its behalf by:

Abdul Samji	Nasim Devji	Ismail Mawji	Stephen Kodumbe
Chairman	Managing Director	Director	Company Secretary

A full copy of the financial statements including explanatory notes are available from our website: www.dtbafrica.com

Independent Auditor's Report on the Summary Financial Statements to the Shareholders of Diamond Trust Bank Kenya Limited

Opinion

The summary Group and Bank financial statements, which comprise the summary consolidated statement of financial position at 31 December 2016 and the summary consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended together with the summary statement of financial position of the Bank standing alone at 31 December 2016 and the summary statements of comprehensive income, changes in equity and cash flows of the Bank for the year then ended, are derived from the audited Group and Bank financial statements of Diamond Trust Bank Kenya Limited (the Bank) and its subsidiaries (together, the "Group") for the year ended 31 December 2016.

In our opinion, the accompanying summary Group and Bank financial statements are consistent, in all material respects, with the audited Group and Bank financial statements.

Summary Group and Bank financial statements

The summary Group and Bank financial statements do not contain all the disclosures required by International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. Reading the summary Group and Bank financial statements and the auditor's report thereon, therefore, is not a substitute for reading the audited Group and Bank financial statements and the auditor's report thereon. The summary Group and Bank financial statements and the audited Group and Bank financial statements do not reflect the effects of events that occurred subsequent to the date of our report on the audited Group and Bank financial statements.

The audited Group and Bank financial statements and our report thereon

We expressed an unmodified audit opinion on the audited Group and Bank financial statements in our report dated 21 March 2017. That report also includes the communication of key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period.

Directors' responsibility for the Group and Bank summary financial statements

The directors are responsible for the preparation of the summary Group and Bank financial statements.

Auditor's responsibility

Our responsibility is to express an opinion on whether the summary Group and Bank financial statements are consistent, in all material respects, with the audited Group and Bank financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to report on summary financial statements.

The engagement partner responsible for the audit resulting in this independent auditor's report is FCPA Richard Njoroge - P/No.1244.

Certified Public Accountants

Nairobi

24 April 2017

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